**BEFORE THE UNITED STATES JUDICIAL PANEL ON MULTIDISTRICT LITIGATION**

| IN RE:<br>**CHEVROLET BOLT BATTERY LITIGATION** | MDL No. _____ |
|---|---|

**MOTION FOR TRANSFER OF ACTIONS PURSUANT TO 28 U.S.C. § 1407 FOR CONSOLIDATED OR COORDINATED PRETRIAL PROCEEDINGS**

Plaintiffs Andres Torres, Thomas Whittaker, Carol Whittaker, Mary Elizabeth McQuarrie, DeShawn Dickinson, Greg Field, Joseph Poletti, James Kotchmar, and Robert Allen ("Moving Plaintiffs") in the matter *Torres v. General Motors LLC*, No. 1:20-cv-07109 (N.D. Ill.), respectfully move this Panel for an Order pursuant to 28 U.S.C. § 1407 and Rule 6.2 of the Rules of Procedure of the Judicial Panel on Multidistrict Litigation to transfer and consolidate or coordinate for pretrial proceedings the civil actions ("Actions") listed in the Schedule of Actions filed concurrently herewith.

For the reasons set forth herein and in the accompanying Memorandum of Law in Support, Moving Plaintiffs respectfully request that the Panel issue an Order transferring the Actions listed in the Schedule of Actions, as well as all subsequently filed related actions (collectively, "Related Actions"), to the United States District Court for the Eastern District of Michigan for coordinated or consolidated pretrial proceedings. In the alternative, the Panel should send the cases to the United States District Court for the Northern District of Illinois.

Dated: January 22, 2021

Respectfully submitted,

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# MEMORANDUM OF LAW IN SUPPORT OF MOTION FOR TRANSFER OF ACTIONS PURSUANT TO 28 U.S.C. § 1407 FOR CONSOLIDATED OR COORDINATED PRETRIAL PROCEEDINGS


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Dated: January 22, 2021

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Andres Torres, Thomas Whittaker, Carol Whittaker, Mary Elizabeth McQuarrie, DeShawn Dickinson, Greg Field, Joseph Poletti, James Kotchmar, and Robert Allen ("Moving Plaintiffs"), who are all Plaintiffs in the action *Torres v. General Motors LLC*, No. 1:20-cv-07109 ("Torres Action") pending in the Northern District of Illinois against Defendant General Motors LLC ("GM" or "Defendant"), respectfully submit this memorandum of law in support of their Motion for Transfer of Actions Pursuant to 28 U.S.C. § 1407 for Consolidated or Coordinated Pretrial Proceedings.

## I. INTRODUCTION

Moving Plaintiffs' understanding is that there are currently five class actions that have been filed against GM involving the same subject matter and similar legal theories of liability are pending in four different federal courts in three different states. Specifically, the Torres Action and all of the Other Actions detailed below allege claims against GM arising from its November 2020 recall of model year 2017-2019 Chevrolet Bolt EVs (the "Class Vehicles") due to the risk of fire posed by the car batteries when charged at or near full capacity (the "Battery Defect"). The Torres Action and Other Actions are as follows:

(a) The Torres Action, pending in the Northern District of Illinois, filed December 1, 2020;

(b) *Zahariudakis v. General Motors LLC*, No. 4:20-cv-08106, pending in the Northern District of California, filed Nov. 17, 2020 ("Zahariudakis Action");

(c) *Pankow v. General Motors LLC*, No. 5:20-cv-02479, pending in the Central District of California, filed Nov. 29, 2020 ("Pankow Action");

(d) *Altobelli v. General Motors LLC*, No. 2:20-cv-13256, pending in the Eastern District of Michigan, filed Dec. 11, 2020 ("Altobelli Action"); and

(e) *Rankin v. General Motors LLC*, No. 2:20-cv-13279, pending in the Eastern District of Michigan, filed Dec. 11, 2020 ("Rankin Action").

All of these cases are putative class actions (collectively the "Actions"). To date, all Actions are virtually in the same procedural posture, whereby each presiding court has granted a Stipulation to extend time for Defendant to respond to the respective complaints on the following dates: Pankow

action, response due February 3, 2021; Torres action, response due February 22, 2021; Altobelli action, response due March 1, 2021; Rankin action, response due March 4, 2021; and Zahariudakis action, response due March 5, 2021. Plaintiffs in the Torres Action (who are also the Moving Plaintiffs) have since filed an Amended Complaint on January 22, 2021, which added additional plaintiffs and additional claims under various state laws. See Torres, ECF No. 18. Moving Plaintiffs have reason to believe that at least one additional similar class action will be filed in yet another federal court.

As discussed herein, Moving Plaintiffs respectfully request that the Panel transfer and consolidate the Torres Action and the Other Actions to a single district for consolidated and/or coordinated pre-trial proceedings, and that such proceedings and any and all additional related actions that may be brought to the attention of the Panel against Defendant be assigned to the same court. Moving Plaintiffs further request that the Panel transfer and consolidate all Actions in the Eastern District of Michigan (the location of GM's headquarters and where the Altobelli Action and Rankin Action are currently pending) and that the federal judge presiding over both the Altobelli and Rankin Actions, the Honorable Terrence G. Berg, be designated as the presiding Multi-District Litigation ("MDL") judge. In the alternative, Moving Plaintiffs request that the Panel transfer and consolidate all Actions in the Northern District of Illinois before Judge Edmond E. Chang, the federal judge presiding over the Torres Action.

## II. NATURE OF THE ACTIONS

The Actions allege that 2017-2019 Chevrolet Bolt EVs suffer from the Battery Defect that poses a fire risk and has resulted in an interim remedy by GM that has caused Bolt owners or lessees to suffer from severe loss of potential battery mileage in their high voltage batteries. Specifically, on November 13, 2020, GM informed all of its authorized retailers of its intent to recall 68,667 Chevrolet Bolt EVs—over 50,000 of which are in the United States—equipped with design-level N2.1 batteries produced at LG Chem's South Korea plant due to the battery pack posing a risk of fire when charged to full or near-full capacity. GM's purported interim remedy to reduce the risk of fire is a software

update that limits the maximum battery charge to approximately 90% battery capacity (or less), thereby reducing the mileage that these vehicles—advertised to have a range of 238 miles on a full charge—can otherwise travel on a full charge.

In order to implement this "remedy," GM has instructed Bolt owners and lessees to schedule a service appointment with their local Chevrolet dealership to apply a software update to change the vehicle charge settings or, until such service appointment takes place, GM has instructed Bolt owners and lessees to make user modifications to the Bolt battery settings in order to limit the battery charge to 90%. Yet, prior to revealing the Battery Defect to Bolt owners and lessees in November 2020, GM had for years been encouraging consumers to charge their batteries to 100% as a regular practice, a practice that led Bolt owners and lessees to face an increased fire risk.

Despite being aware of serious battery problems with the Class Vehicles, GM actively concealed the Battery Defect from consumers and continued to make false representations regarding the Class Vehicle's battery range. GM withheld the fact that the existence of the Battery Defect would diminish car owners' usage of the Class Vehicles and would also depreciate their vehicle's intrinsic and resale value. Instead, GM delayed issuance of a recall until after it knew of battery problems and after several battery-related fires occurred in the Class Vehicles. GM chose to delay the recall in order to avoid the financial ramifications of having to acknowledge that the Class Vehicles' batteries were inherently defective and incapable of safely providing customers with GM's advertised 238-mile driving range.

## III. **ARGUMENT**

Taking into account the Torres Action and the Other Actions, five class actions against GM related to this battery issue are pending in several federal district courts, with at least one more class action anticipated to be filed. Section 1407 authorizes the transfer of two or more civil actions, pending in different districts, for coordinated or consolidated pretrial proceedings, when (1) the "actions involv[e] one or more common questions of fact;" (2) transfer "will be for the convenience of parties and witnesses;" and (3) transfer "will promote the just and efficient conduct of such actions."

28 U.S.C. § 1407. "The multidistrict litigation statute, 28 U.S.C. § 1407, was enacted as a means of conserving judicial resources in situations where multiple cases involving common questions of fact were filed in different districts." *Royster v. Food Lion (In re Food Lion)*, 73 F.3d 528, 531-32 (4th Cir. 1996). Two critical goals of Section 1407 are to promote efficiency and consistency. *Illinois Mun. Ret. Fund v. Citigroup, Inc.*, 391 F.3d 844, 852 (7th Cir. 2004). The statute "was [also] meant to 'assure uniform and expeditious treatment in the pretrial procedures in multidistrict litigation[,]'" and "[w]ithout it, 'conflicting pretrial discovery demands for documents and witnesses' might 'disrupt the functions of the Federal courts.'" *In re Phenylpropanolamine Prod. Liab. Litig.*, 460 F.3d 1217, 1230 (9th Cir. 2006) (quoting H.R. Rep. No. 1130, 90th Cong., 2d Sess. 1 (1968), reprinted in 1968 U.S.C.C.A.N. 1898, 1899). The alternative to appropriate transfer is "'multiplied delay, confusion, conflict, inordinate expense and inefficiency.'" *Id.* (quoting *In re Plumbing Fixture Cases*, 298 F. Supp. 484, 495 (J.P.M.L. 1968)).

### A. **The Related Cases Should Be Transferred to a Single Forum**

*[Argument III.A.1 through III.A.3 is not transcribed here.]*

### B. **The Most Appropriate Transferee Forum is the Eastern District of Michigan or, Alternatively, the Northern District of Illinois**

The district court with the strongest nexus to the litigation is often selected as the transferee court. See, e.g., *In re: Reciprocal of Am. (ROA) Sales Practices Litig.*, 281 F. Supp. 2d 1356, 1358 (J.P.M.L. 2003). Although Moving Plaintiffs did not initiate their action in the Eastern District of Michigan, given the additional cases that have been filed since that case was initiated—two of which are filed in the Eastern District of Michigan—Moving Plaintiffs now recognize the benefits and efficiencies of transferring all Actions for coordinated or consolidated proceedings to the Eastern District of Michigan to proceed before a single Judge. Alternatively, Moving Plaintiffs support transferring the cases to the Northern District of Illinois before Judge Edmond E. Chang, where the Torres Action is currently pending.

### 1. The Eastern District of Michigan Has the Strongest Nexus to the Litigation

#### a. GM Maintains Its Headquarters and Substantial Operations in the Eastern District of Michigan

GM maintains its headquarters in Detroit, Michigan and operates 30 facilities and employs nearly 49,000 employees in the state of Michigan.[1] GM's facilities, including its fully dedicated EV assembly factory, powertrain production plant, and many other various operations, assembly, and production centers are located in the District.[2] As such, it is likely that GM employees and executives who have knowledge regarding the manufacture, design, testing, and sales of the Class Vehicles and their batteries are located in the District,[3] as well as those familiar with the November 2020 battery-related recall and "interim remedy" resulting in reduced battery capacity and driving range. Likewise, a significant portion of the events and decision-making relating to the marketing and concealment of the Battery Defect in the Class Vehicles likely occurred at GM's business headquarters in Michigan. As such, it is likely that Michigan has more relevant defense witnesses and relevant documents than any other state. See *In re GMC Air Conditioning Mktg. & Sales Practices Litig.*, 289 F. Supp. 3d at 1341 (transferring actions involving the performance of air conditions in several models of GM vehicles to the Eastern District of Michigan "which enjoys the support of most responding parties, is where relevant documents and witnesses may be found, inasmuch as defendant GM is based there"); *In re General Motors Corporate Securities & Derivative Litig.*, 429 F. Supp. 2d 1368 (J.P.M.L. 2006) (transferring two actions from the Southern District of New York to the Eastern District of Michigan because the latter "district is where many relevant documents and witnesses are likely to be found, inasmuch as GM's principal place of business is located there"); *In re General Motors Onstar Contract Litig.*, 502 F. Supp. 2d 1357 (J.P.M.L. 2007) (transferring action from the Northern District of

[1] https://www.gm.com/our-company/about-gm.html (last visited Jan. 20, 2021).

[2] https://www.gm.com/our-company/us/mi.html (last visited Jan. 21, 2021).

[3] The LG battery itself was manufactured in South Korea.

California to the Eastern District of Michigan because "relevant documents and witnesses are likely located in or near defendants' facilities in Michigan").

*[Argument III.B.1.b, III.B.1.c and III.B.2 are not transcribed here.]*

## IV. CONCLUSION

For all of the reasons set forth above, Moving Plaintiffs respectfully request that the Panel transfer the Actions and any subsequent tagalong actions involving the Battery Defect in Class Vehicles to the Eastern District of Michigan for coordinated or consolidated pretrial proceedings before Judge Berg or, in the alternative, to the Northern District of Illinois before Judge Chang.

Dated: January 22, 2021

Respectfully submitted,

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**CERTIFICATE OF SERVICE**

The undersigned hereby certifies that on January 22, 2021, a true and correct copy of the above and foregoing was filed with the Clerk of the Panel through CM/ECF, which will serve it electronically on all counsel of record.

By: /s/ Benjamin F. Johns